



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 AS Level Multiple Choice

February/March 2025

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages.

Profit incentive

Due to existence of firms

2 Demand = Supply
Price mechanism
private sector.

Allocation of resources,
not according to society.

1 Which statement about a market economy is not correct?

A Competition is promoted among firms which can increase productive efficiency. *Correct*

B Immobility of the factors of production can lead to allocative inefficiency. *Correct*

C Price always reflects all the costs and all the benefits associated with production. *no, doesn't take externalities into consideration.*

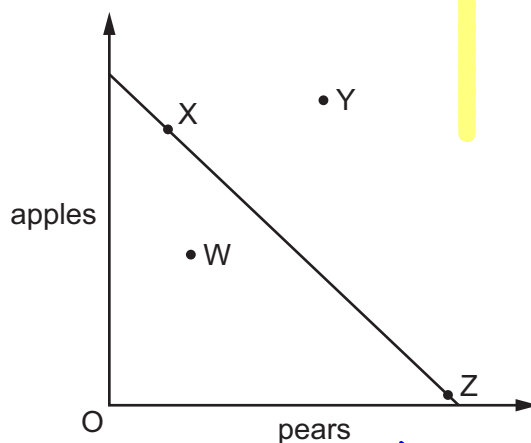
D The entrepreneur is encouraged to innovate and take risks, motivated by profit. *correct.*

2 To increase production, a firm in industry X needs to install capital equipment, while a firm in industry Y needs to research and introduce a new technology. *long run*
very long run

What time periods are illustrated by these cases?

	industry X	industry Y
A	short run	long run
B	long run ✓	long run
C	long run ✓	very long run ✓
D	very long run	very long run ✓

3 The production possibility curve shows the maximum potential output of apples and pears for an economy using current resources.



on PPC (X and Z) Inside PPC (W)

Which pair of positions identifies an efficient and an inefficient outcome?

A W and Y

B W and X

C X and Z

D Y and Z

unattainable

only efficient

unattainable

- 4 The price of a good rises by 5% and the quantity of it demanded rises by 3%. At the same time, the incomes of consumers of the good rise by 4%. $P \uparrow$ $Q_d \uparrow$ $Y \uparrow$

The law of demand appears not to be working in this case.

What is the most likely explanation?

A Other things did not remain equal.

B The demand for the good was price inelastic.

C The real price of the good fell.

D The time period was the very short run.

Above situation existed due to shift in demand. A rightward shift ($Y \uparrow$), will raise price and quantity demanded (Q_d and Q_s).

$\rightarrow P \uparrow Q_d \downarrow$ (Law of demand applied)

Law of demand applies

$\rightarrow$ Therefore large market can satisfy the effect of division of labour.

- 5 When is division of labour likely to be most effective?

A in a large market with stable demand

B in a market where consumers prefer a handmade product over a product made using machines

C in a market where consumers require a variety of goods

D in a small market where consumers require a custom-made product

Because division of labour leads to specialization, greater output.

$\rightarrow$ No point of producing output at large scale

$\rightarrow$ Specialization, single product, greater scale, no variety

$\rightarrow$ Division of labour not effective for small market.

- 6 What will influence the value of the price elasticity of supply of a good?

A the level of producer surplus

B the time period under consideration

C the total income spent on the good

D whether the good is a necessity

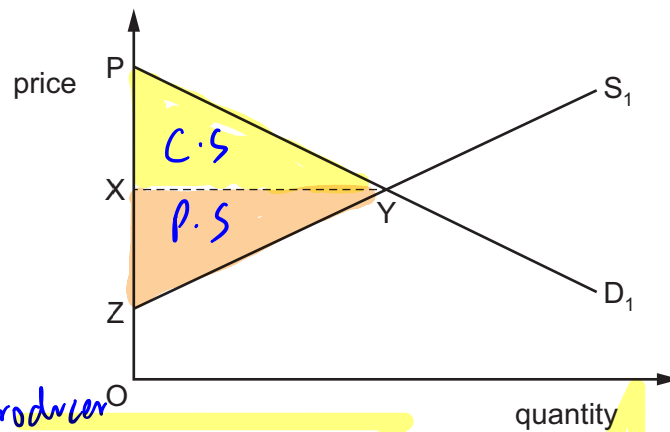
(Difference between the market price and the minimum price producer is ready to accept)

(affect demand)

(related to PED, necessity, so inelastic)

Short run: factors of production fixed, firms unable to extend OS quickly
Long run: variable f.o.p, able to extend OS.

7 The diagram represents the market for a good.



Z, minimum price producer is ready to accept

Which statement is correct?

- A OX represents the price above which no producer wishes to stay in the market.
- B OZ represents the minimum price consumers are prepared to pay.
- C PYZ represents the total consumer surplus. No, PXY is C.S
- ☒ D XYZ represents the total producer surplus. Correct

It's just an equilibrium price, firm can accept till 'Z', minimum price.

8 The diagram shows the impact on equilibrium due to an increase in the costs of production. The original price is \$72. The price elasticity of demand is -2.0.

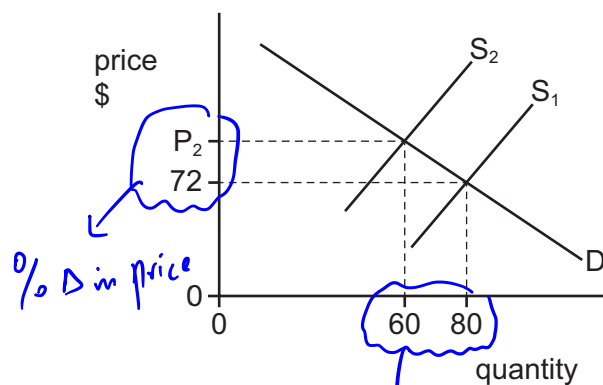
$$\frac{x-72}{72} \times 100 = \frac{25}{2}$$

$$\frac{x-72}{72} = \frac{12.5}{100}$$

$$x-72 = \frac{12.5}{100} \times 72$$

$$x-72 = 9$$

$$x = 81$$



$$PED = \frac{\% \Delta \text{ in } QD}{\% \Delta \text{ in price}}$$

$$-2.0 = \frac{-25\%}{\frac{x-72}{72} \times 100}$$

$$x = 81$$

$$\% \Delta \text{ in } QD = -25\%$$

What is the new equilibrium price, P_2 ?

- ☒ A \$81.00
- B \$84.00
- C \$92.00
- D \$108.00

9 What is likely to have a greater effect on an individual demand curve than on a market demand curve?

- A changing weather patterns
- B government policy to promote consumption
- C growth in population

} Affects market demand

✓ D more expensive substitutes

, Relationship between two products, affects individual demand

10 The quantity demanded of a product is given by $Q_D = 400 - 10P$, when P is the price in dollars. Supply of the product is fixed at 100 units.

If the price is \$20, what will be the position in the market?

- ✓ A It will be in disequilibrium with excess demand of 100 units.
- B It will be in disequilibrium with excess supply of 100 units.
- C It will be in equilibrium with 100 units traded.
- D It will be in equilibrium with 200 units traded.

Price = \$20

$$Q_D = 400 - 10(20)$$

$$Q_D = 400 - 200$$

$$Q_D = 200$$

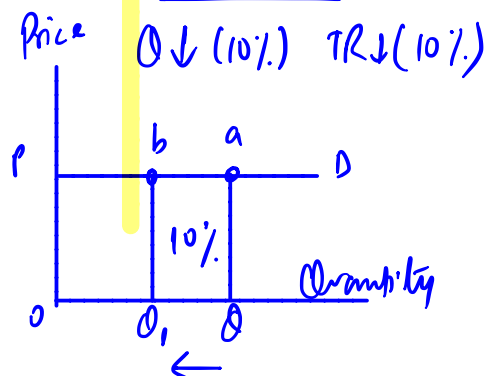
$$Q_S = 100$$

$Q_D > Q_S$: Shortage / excess demand

11 A decrease in the quantity demanded of a product results in a proportionate decrease in sales revenues.

What is true about its price elasticity of demand?

- A It is between zero and one. (Inelastic)
- ✓ B It is infinite. (perfectly elastic demand)
- C It is unitary. (TR/TE unchanged)
- D It is zero. (perfectly inelastic) (Quantity unchanged)

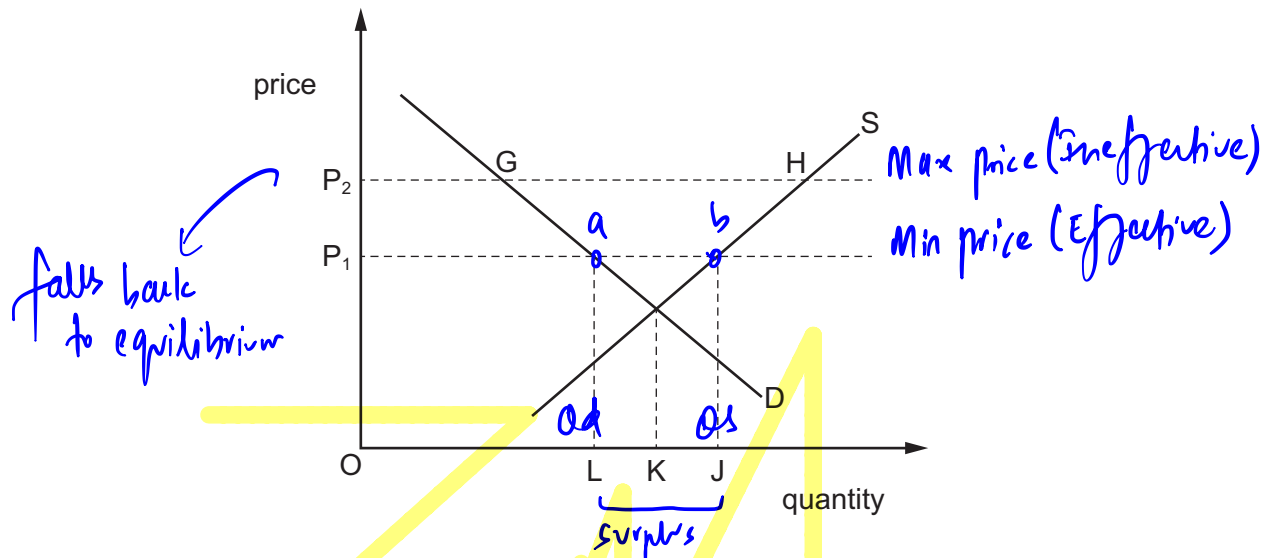


12 A government may use a range of methods to intervene in a market to affect both demand and supply.

What is a method which will shift the demand curve for a good?

- A an indirect tax, goods and services, cost related, Supply
- B a subsidy, cost related, Supply
- C direct provision, Provision by Government, can be related to Supply
- ✓ D provision of information, related to consumers, affects demand

- 13 To help achieve price stability, the government in country F operates a buffer stock scheme, with a minimum price of P_1 and a maximum price of P_2 . The current demand and supply in the market is shown.



What should the government do to ensure the scheme is effective?

- A buy an amount equal to GH *Doesn't exist, ineffective price control*
 B buy an amount equal to KJ *extension in OS*
 C buy an amount equal to LJ *yes, surplus*
 D do nothing as the equilibrium price is below P_1 *Nattals, kuch bhi!*

- 14 Why is it more difficult to quantify the wealth of an individual rather than their income?

- A A skilled artist may keep a painting in stock whose value increases after their death.
 B Individuals can choose to spend all available income, leaving wealth unchanged.
 C Not every form of individual wealth can be traded for money in a market.
 D Wealth is a stock which cannot be broken down into an individual's different assets.

value can be measured in monetary terms

Thus, it can be quantify

can be broken

wealth:	<u>Financial Assets</u>	<u>Physical assets</u>	<u>Other assets</u>
	Savings	Real estate	Business Ownership
	Investments	Vehicles	Intellectual property
	Retirement amount	Art and collectibles	

* The Gini coefficient ranges from 0, indicating perfect equality (where everyone receives an equal share), to 1, perfect inequality (where only one recipient or group of recipients receives all the income).

means inequality

* The Gini coefficient (Gini index or Gini ratio) is a statistical measure of economic inequality in a population. The coefficient measures the dispersion of income or distribution of wealth among the members of a population. The Gini coefficient is one of the most frequently used measures of economic inequality.

15 The table shows the Gini coefficient for income in three countries.

no data available to conclude on this statement!

	2018	2019	2020
Costa Rica	0.479	↓ 0.478	↑ 0.497
New Zealand	0.330	↓ 0.326	↓ 0.320
Sweden	0.275	↑ 0.280	↓ 0.278

What can be concluded from this data?

No, see Costa Rica, 2019 - 2020

A All three countries have seen an overall improvement in income equality.

B Costa Rica has the highest level of consumer income of all three countries.

C New Zealand's income inequality worsened between 2018 and 2020. *inequality reduced throughout.*

✓ D Sweden's economy has the highest income equality of all three countries.

Because of the lowest value of Gini coefficient

16 Governments may have price stability as a macroeconomic objective.

What is meant by price stability? *Less fluctuations in price*

A All equilibrium prices are maintained in the long run.

B Demand-pull inflation cancels out any cost-push inflation.

C Only disinflation is present in the economy in the long run.

✓ D Prolonged periods of inflation and deflation are avoided.

Longrun: Achieving full employment

Two have separate causes

disinflation: rate of inflation ↓, But still price rise

avoiding fluctuations in prices

in between jobs, search, voluntary

17 In country S, frictional unemployment has decreased, but in country T, structural unemployment has increased.

What would be possible explanations for these changes?

*Occupational immobility
Fall in demand of an industry.*

	country S	country T
A	a reduction in <u>job search times</u>	<u>real wage rates</u> are <u>flexible</u>
✓ B	<u>more job vacancy websites</u>	the closure of <u>several large mining firms</u>
C	<u>unemployment benefits</u> have <u>decreased</u>	a fall in <u>economic growth</u>
D	<u>unemployment benefits</u> have <u>increased</u>	workers' <u>skills</u> do not match <u>available jobs</u>

unrelated to type of unemployment

One particular industry

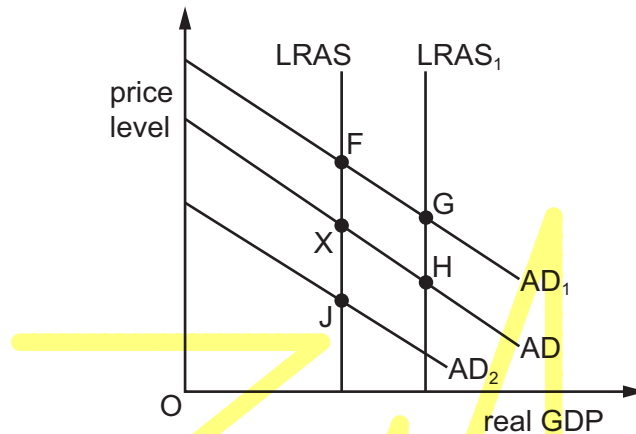
Cyclical (demand deficient)

Structural unemployment

unemployment ↑

availability of information, regarding availability of jobs, search unemployment ↓

- 18 The diagram shows aggregate demand (AD) and long-run aggregate supply (LRAS) with X as the initial equilibrium.



Which combination of policy and new final equilibrium point is correct?

	policy	new final equilibrium point
A	increased direct taxation	F
B	increased government spending on infrastructure	G
C	appreciation of the exchange rates	H
D	decreased interest rates	J

→ $C \uparrow, I \uparrow, AD \uparrow, X \text{ to } F$

→ Tax $\uparrow$, Disposable income $\downarrow$, $C \downarrow$, $AD \downarrow$
Position: $X \text{ to } J$.
→ $g \uparrow, AD \uparrow, X \text{ to } F$, on infrastructure,
long run development, $LRAS \uparrow, F \text{ to } G$
→ Appreciation, $X \text{ p} \uparrow$, $MP \downarrow$, Trade deficit,
 $AD \downarrow, X \text{ to } J$.

- 19 The money income of a country rises by 10% whereas its population falls by 10% during a year.

What is likely to happen to the national income per head? $= \frac{\text{National income}}{\text{Total population}} = \frac{10\% \uparrow}{10\% \downarrow} = 1.22$

- A It will remain unchanged.
B It will rise by exactly 20%.
C It will rise by less than 20%.
D It will rise by more than 20%.

→ Numerator rising
→ Denominator falling

- 20 High economic growth is often accompanied by a worsening of the current account of the balance of payments.

Which reason for this trend is not valid?

- A Economic growth raises domestic consumption, leaving very little to sell to overseas consumers. *Valid, as less exports, so worsens current account.*
- ✓ B Economic growth raises domestic output, leading to lower prices and more price-competitive goods both at home and abroad. *Not valid, this improves current account.*
- C Economic growth raises incomes and leads to rising demand for foreign goods. *MP, valid, worsen current account*
- D Economic growth results in rising requirements of inputs from other countries. *MP, valid, worsen current account*

→ MP, outflow ↑, worsens current account.

- 21 A government cuts income tax.

incentive to work increases, AS ↑

Why might this be seen as an example of a supply-side policy?

- A Real incomes are increased. *related to nominal income and rate of inflation*
- B The costs of businesses are reduced. *related to indirect tax*
- ✓ C The opportunity cost of unemployment has increased. *They could now earn a higher disposable income but will forgoe if stayed unemployed*
- D The standard of living has improved.

→ alot of factors required to conclude on S.O.L!

- 22 Which combination of fiscal policy measures will reduce both the inflation rate and income inequality?

	direct taxes	indirect taxes	subsidies on food and public transport
A	decrease	decrease ✓	increase ✓
B	decrease	increase	increase ✓
✓ C	increase ✓	decrease ✓	increase ✓
D	increase ✓	increase	decrease

* Direct tax ↑

Progressive

Tax collection

Transfer Payments

Inequality ↓

* Indirect tax ↓

Regressive

Reduced

Benefits poor

affordability ↑

Inequality ↓

* Direct tax ↑, C ↓, I ↓, AD ↓, P ↓

affordability ↑, inequality ↓

- 23 A country's central bank decides to reduce the level of credit regulation.

What is this an example of?

- A contractionary fiscal policy
- B contractionary monetary policy *(MS ↓, r ↑, high credit regulation)*
- C expansionary fiscal policy
- ✓ D expansionary monetary policy *(MS ↑, r ↓, low credit regulation)*

more loans

A and C : Eliminates, as it comprises of tax and government spending

LRAS ↑

- 24 A government decides to use supply-side policy to increase long-run aggregate supply (LRAS).

What is the most likely reason why this policy tool will not lead to a fall in the price level?

- ✓ A Aggregate demand will also increase. e.g. $G \uparrow$ on infrastructure, so AD will rise due to rise in government spending.
 B Labour productivity levels will increase. LRAS ↑, P ↓
 C Workers will save any extra wages they earn. AD ↓ } price ↓
 D Workers will spend any extra wages on imports. AD ↓ } price ↓

SR: AD ↑, Price ↑

(proportion)

- 25 What defines a progressive tax? Additional income ↑, rate of tax ↑, impact on rich

- A All taxpayers pay the same proportion of income in taxes. proportional
 ✓ B Low-income earners pay a lower proportion of income in taxes than high-income earners.
 C Low-income earners pay less in taxes than high-income earners.
 D Low-income earners pay more in taxes than high-income earners. } Read the definition carefully.

- 26 Country X trades with country Y.

TOI = $\frac{\text{Index of export prices}}{\text{Index of import price}}$

What are the terms of trade for country X?

- A $\propto$ average price of country X's exports divided by the average price of country Y's exports
 ✓ B the ratio of an index of country X's export prices to an index of its import prices
 C $\propto$ value of country X's exports divided by the value of country Y's exports
 D $\propto$ value of country X's imports divided by the value of country Y's imports

- 27 When is a country's exchange rate most likely to fall? Depreciate

- A When its current account surplus exceeds that of its trading partners. Surplus, inflows ↑, Appreciate.
 ✓ B When its inflation rate exceeds that of its trading partners. Appreciate.
 C When its interest rate exceeds that of its trading partners. $R \uparrow$, FDI ↑, value ↑, Appreciate
 D When its unemployment rate exceeds that of its trading partners.

Exports uncompetitive
 $X(IR) \downarrow$
 Demand ↓
 value ↓
 Depreciate

Higher unemployment
 low incomes
 low imports
 outflows ↓

Trade in goods and services
 Primary income and Secondary income.

- 28 A country experiences a rising trade deficit and a current account surplus at the same time.

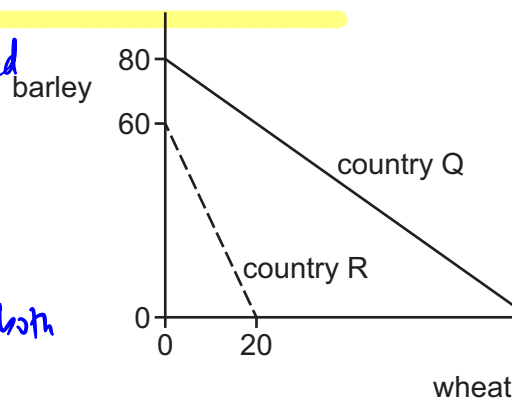
Which combination of events might explain this?

	Event 1	Event 2
A	a global recession resulting in decreased prices of commodities	Gross National Income (GNI) rises faster than Gross Domestic Product (GDP)
B	increased subsidies for exporters	increased donations received from abroad to combat a humanitarian crisis
C	removal of restrictions on imports	removal of restrictions on the remittance of profits of foreign-owned producers
D	rising imports of machinery to help raise exports in the future	increased secondary income from workers' remittances from abroad

unrelated
 Trade surplus
 Trade surplus
 Trade deficit
 Trade deficit
 Current account surplus
 current account deficit
 outflow
 current account surplus, secondary income ↑, inflow

- 29 The diagram shows the production possibilities for barley and wheat in countries Q and R.

Absolute advantage:
 greater quantity produced
 Comparative advantage:
 lower opportunity cost.
 Absolute with country 'Q', both goods.



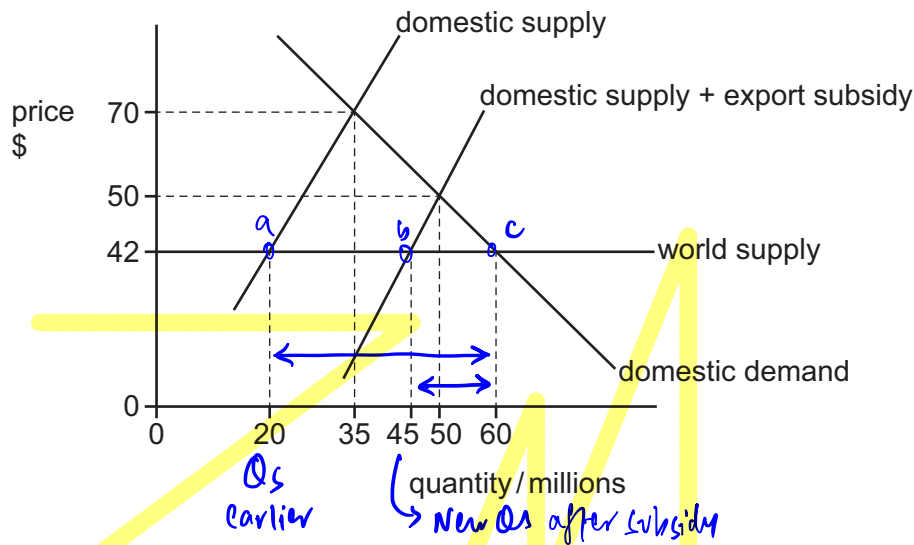
Country R: Country Q
 W : B W : B
 20 : 60 80 : 80
 1W : 3B 1W : 1W

Q : comparative in wheat
 R : comparative in Barley

What can be concluded?

- A Country Q has a comparative advantage in the production of barley. No
 B Country Q has an absolute advantage in producing both goods. Correct
 C Country R has an absolute advantage in the production of barley. No
 D There is no comparative advantage. There is, lines are not parallel.

- 30 The diagram shows the impact of a government introducing an export subsidy for its domestic producers of oil.



What will be the effect of this export subsidy on the operation of the domestic market?

- A** domestic output of oil will increase by 15 million units *no, by 25 units (45-20)*
- B** imports of oil will decrease by 25 million units *(60-20=40) to (60-45=15), 40-15=25*
- C** the domestic price of oil will decrease by \$28 *, price at W^S is 42*
- D** the domestic price of oil will increase by \$8 *, Read option C.*

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